

Michigan Exam Prep: Additional State Topics

STUDY SHEET

Top Takeaways

You can expect to see 12 questions on additional state topics on your licensing exam.

Land Division Act-Public Act 591 (Disclosure of Private Road)

- The intention of the act is to regulate the division of land in the state in order to promote public health, safety, and general welfare. This is done through:
 - Using land in an orderly way
 - Setting land suitability requirements for building and improvements (such as adequate drainage)
 - Requiring proper ingress and egress of lots and easements for utilities
 - Promoting proper surveying and monuments to help ensure accurate legal descriptions
 - Providing approvals for plat recordings and land divisions, and enacting a procedure for revising these recordings
 - Establishing special assessment districts to impose special assessments, which can be used to defray the costs of operating and maintaining retention basins
 - Controlling residential building development in floodplains
 - Reserving areas for utility easements
 - Imposing penalties for violations of this act

Disclosure of Private Road

- Sellers must disclose to buyers if the lot in a recorded plat or any parcel of unplatted land in unincorporated areas abuts a private road or street. This disclosure advises that the board of county road commissioners or any other public body doesn't maintain the private road (so this maintenance may fall on property owners).
- The private road disclosure must be separate from, but attached to, the instrument used to convey interest in the property. If the seller fails to properly disclose a private road, the contract is deemed voidable and can be cancelled at the buyer's discretion.

Michigan Fair Housing

Michigan fair housing laws are largely similar to federal laws. At the state level, you need to be familiar with the Elliot-Larsen and the Persons with Disabilities Civil Rights acts.

Elliott-Larsen Civil Rights Act

- The Elliott-Larsen Civil Rights Act defines several key terms as used by the act:
 - **Real property:** Buildings, structures, mobile homes, real estate, land, mobile home parks, trailer parks, tenements, leaseholds, or interest in cooperatives or condominiums
 - It's worth noting that in some states, mobile homes aren't considered real property unless they meet certain conditions, but for the purpose of the Elliott-Larsen Civil Rights Act, mobile homes are considered real property.
 - **Real estate transaction:** Sale, exchange, rental, or lease of real property, or interests in real property
 - **Housing accommodation:** Real property used, occupied, or intended or designed to be used as a home or residence for at least one person. The real property can be improved or unimproved. This means that housing accommodation, for the purpose of this act, could include unimproved land zoned for residential dwellings.
 - **Real estate broker or salesperson:** Anyone (whether licensed or not) who for another for compensation engages in real estate activities.
- Anyone engaged in a real estate transaction or acting as a real estate broker or salesperson can't do any of the following actions on the basis of religion, race, color, national origin, age, sex, familial status, or marital status of an individual or a person living with that individual:
 - Refuse to engage in a real estate transaction.
 - Discriminate against the person in relation to terms, conditions, or privileges related to the transaction, or when providing services or facilities related to the transaction.
 - Refuse to receive or present a bona fide offer related to a real estate transaction.
 - Refuse to negotiate a transaction, including terms and conditions of a rental or purchase, based on a protected characteristic.
 - Represent that a property isn't available for inspection, sale, rental lease, etc. when it's available, including intentionally failing to bring a property listing to the individual's attention or denying property to a person.
 - Create and circulate materials (such as advertisements or other items related to a transaction) that directly or indirectly imply a preference, limitation, specification, or discrimination, such as describing an area as a Hispanic neighborhood.

- Offer real estate services, try to solicit listings, or accept a listing with the understanding that discrimination may occur during the transaction. For example, if a seller tells a licensee that he'll refuse to accept any offers from minorities, the licensee shouldn't represent or work with this seller.
- Discriminate related to property appraisals, negotiations, or other brokering arrangements (such as financing).
- Access to real estate services, organizations, associations, or memberships (such as in a multiple listing service) can't be denied on the basis of religion, race, color, national origin, age, sex, familial status, or marital status.
- Exceptions to this include:
 - Rentals in a building that has housing accommodations for two or fewer families living independently of one another, if the owner or an immediate family member lives in one of the accommodations. Immediate family includes a spouse, parent, child, or sibling.
 - Renting a room or rooms in a single-family dwelling if the lessor or an immediate family member resides in the dwelling.
 - Rental of a housing accommodation for 12 months or less by the owner or lessor, if the accommodation were occupied and maintained by the owner or lessor as the primary legal residence for at least the three months immediately preceding the lease.
 - Specific to age and familial status provisions, the sale, rental, or lease of accommodations meeting federal, state, or local housing program requirements for senior citizens or for the purpose of housing those aged 50 or older.
- Persons (or their representatives) seeking financing or financial assistance related to a real estate transaction, or construction, rehab, maintenance, or improvement of real property can't be discriminated against on the basis of religion, race, color, national origin, age, sex, familial status, or marital status. Lenders can't engage in blockbusting, redlining, or steering.
- Any conditions that prohibit or limit the use or occupancy of real property on the basis of religion, race, color, national origin, age, sex, familial status, or marital status are void. However, certain limitations of use may be permitted for religious reasons for real property held, operated, or supervised by a religious organization or institution.
- Real estate salespersons or brokers are also prohibited from blockbusting. Michigan law states that it's illegal to induce real estate transactions from which a person may financially benefit by representing that a change is occurring or will occur in the neighborhood or area related to religion, race, color, national origin, age, sex, familial status, or marital status. This may include representations that property values or quality of schools will decline, or that crime rates or antisocial behavior will increase.
- It's also illegal for two or more individuals to conspire to retaliate against someone who has made a civil rights complaint, or someone denying that a violation occurred.
- The Michigan Civil Rights Commission investigates fair housing complaints and potential violations of Michigan civil rights laws. This includes holding hearings and imposing penalties for violations.
- Under state law, any person who is believed to be the victim of discriminatory practices can take any of the following actions within 180 days of the discriminatory activity:
 - File a complaint with the Michigan Civil Rights Commission.
 - File a complaint with local commissions.
 - File a private civil lawsuit in a Michigan circuit court.
- Federal complaints of discrimination must be filed within one year.
- If the Michigan Civil Rights Commission finds that a violation has occurred, it can:
 - Issue a cease-and-desist order for the guilty party to stop engaging in the discriminatory practice.
 - Require the guilty party to:
 - Proceed with the sale or rental of the property
 - Pay any profits to the injured party
 - Pay damages and reasonable attorney's fees to the complainant
 - Pay a civil fine
 - Fines are \$10,000 for the first violation, \$25,000 for a second violation within a five-year period, and \$50,000 for a third violation within a seven-year period.
- Licensees found guilty of fair housing law violations may also face license suspension.

Persons with Disabilities Civil Rights Act

- The opportunity to obtain real estate or to use public accommodations can't be based on a person's disability. Reasonable accommodations must be made for those with disabilities, unless doing so would create an undue hardship.
- Specific to housing, disability is a physical or mental condition resulting from disease, injury, birth, or functional disorder that substantially limits one or more major life activities and is unrelated to the individual's ability to acquire, rent, or maintain property. The following actions are prohibited on the basis of disability:
 - Refusing to engage in or negotiate a real estate transaction
 - Discriminating against the person in relation to terms, conditions, or privileges related to the transaction, or when providing services or facilities related to the transaction.
 - Refusing to receive or present a bona fide offer related to a real estate transaction.
 - Representing that a property isn't available for inspection, sale, rental, lease, etc. when it's available. This includes intentionally failing to bring a property listing to the individual's attention or denying property to a person.
 - Creating and circulating materials (such as advertisements or other items related to a transaction) that directly or indirectly imply a preference, limitation, specification, or discrimination. For example, including "no wheelchairs" in advertisements would be a violation.
 - Offering real estate services, trying to solicit listings, or accepting a listing with the understanding that discrimination may occur during the transaction. For example, if a seller tells a licensee that he'll refuse to accept any offers from a person with a disability, the licensee shouldn't represent or work with this seller.
 - Discriminating related to property appraisals, negotiations, or other brokering arrangements (such as financing).

- Access to real estate services, organizations, associations, or membership (such as in a multiple listing service) can't be denied on the basis of disability.
- Exceptions to the above include:
 - Rentals in a building that has housing accommodations for two or fewer families living independently of one another, if the owner or an immediate family member lives in one of the accommodations. Immediate family includes a spouse, parent, child, or sibling.
 - Renting a room or rooms in a single-family dwelling if the lessor or an immediate family member resides in the dwelling.
- Lenders can't discriminate on the basis of disability. These decisions should be made based on the applicant's creditworthiness.
- Blockbusting is prohibited.
- The following actions are also prohibited:
 - Refusing to allow a person with a disability to, at their own expense, make reasonable modifications to the property deemed necessary for full enjoyment of the property.
 - For rented property, the owner may require that the property be restored to its original condition (except for normal wear and tear).
 - Refusing to make reasonable accommodations in rules, practices, or services preventing full enjoyment by the disabled party.
 - Designing or building multi-family dwellings (buildings with four or more units if the building has at least one elevator, or buildings with a ground floor with four or more units) that fail to include any of the following:
 - At least one accessible entrance, unless terrain or site characteristics prevent this.
 - Accessible public and common use areas that can be used by persons with disabilities.
 - Doors designed to accommodate passage by wheelchairs.
 - Accessible routes into and through dwellings, including light switches, outlets, thermostats, property controls, reinforced walls for grab bars, and space in kitchens and bathrooms for wheelchairs to maneuver.
- Here's some helpful information related to the Americans with Disabilities Act (ADA) and Michigan service animal legislation:
 - A service animal is a guide dog, signal dog, or other animal individually trained to provide assistance to disabled persons. The animal performs a function that the disabled person can't perform for him or herself, such as a guide dog serving as the "eyes" of someone who is blind, or an animal alerting a deaf individual of sounds.
 - Service animals aren't considered pets. This is an important distinction that must be recognized by landlords.
 - Emotional support animals or therapy dogs aren't considered service animals under ADA.
 - Two questions, and only these two questions, can be asked to an individual to determine if an animal is a service animal and not a pet:
 - Is the animal a service animal required because of a disability?
 - What work or task has the animal been trained to perform?

Landlord Tenant Relationship Act and Truth in Renting Act

Landlord and Tenant Relationships

- The purpose of this act is to regulate the landlord-tenant relationship related to rentals, including lease termination and security deposits.

Lease Termination

- If a tenant has occupied a premises for at least 13 months, the rental agreement can allow a tenant to terminate the lease with a 60-day written notice to the landlord if any of the following is true:
 - The tenant becomes eligible to take possession of a subsidized rental in senior citizen housing.
 - The tenant becomes incapable of living independently, as certified by a physician's notarized statement.

Present Danger from Domestic Violence, Sexual Assault, or Stalking

- Tenants who believe they or their child (this includes only minor children or legally incapacitated adult children) faces a reasonable present danger of domestic violence, sexual assault, or stalking can be released from their rental obligation.
 - Lease agreements should contain the following statement: "A tenant who has a reasonable apprehension of present danger to him or her or his or her child from domestic violence, sexual assault, or stalking may have special statutory rights to seek a release of rental obligation under MCL 554.601b."
 - If this provision isn't on the rental agreement, the landlord should post it in a noticeable location at the property management office or deliver it to the tenant when the lease agreement is signed.
- To be released from a rental obligation due to a present danger, the tenant must provide a written statement via certified mail to the landlord that there is "a reasonable apprehension of present danger from domestic violence, sexual assault, or stalking."
 - The release from rental obligation starts when the tenant vacates the premises, but no later than the first day of the second month that rent is due after the notice is given. For example, Irene's rent is due on the first of every month. On August 13, she provided written notice and documentation to her landlord that she was being stalked. Irene can be released from her rental obligation beginning October 1 at the latest. The release of rental obligation doesn't apply to prepaid rent and has no influence on the tenant's security deposit.

- Tenants can provide any of the following as written documentation of "a reasonable apprehension of present danger from domestic violence, sexual assault, or stalking":
 - Personal or foreign protection order issued by a court that is still valid and in effect at the time the tenant provides it to the landlord.
 - Probation, conditional release, or parole order still valid and effective at the time it's provided to the landlord. The order must include conditions needed to protect the tenant or child, including a no-contact provision.
 - Police report that resulted in charges being filed.
 - Report verified by a qualified third party that a present danger exists. Michigan law contains the language of the form that can be submitted. A qualified third party may include: sexual assault or domestic violence counselors, health professionals, mental health professionals, or a member of the clergy who is affiliated with a tax-exempt religious institution.
- Landlords shouldn't intentionally provide the tenant's forwarding address to the person who's the source of the present threat of danger. The forwarding address should only be provided to individuals necessary to help the landlord carry out normal business activities.
 - For example, if the landlord has an employee who helps with returning security deposits to former tenants, the forwarding address could be provided to that employee to carry out the business activity.
 - Alternatively, if someone claiming to be a friend of the former tenant asks for the forwarding address because he or she has something that belongs to the tenant, the address must NOT be provided to this person.
- If multiple tenants are parties to the rental agreement, the remaining parties are still subject to the terms of the agreement. Only the tenant facing a present danger may be released from rental obligation.

Security Deposit

- Landlords can require security deposits, but the amount can't exceed one-and-a-half months' rent. For example, if the monthly rent for a unit is \$500, the landlord can't require more than \$750 as a security deposit.
- A security deposit can't be required unless the landlord notifies the tenant in writing at least 14 days before the tenant is to take possession of the premises. The notice must include the landlord's name and address, the financial institution's name and address where the deposit will be held, and a statement that the tenant is required to provide a forwarding address in writing.
 - This is the text of the notice that must appear in at least 12-point boldface type and be at least four points larger than the rest of the text on the notice or lease agreement: "You must notify your landlord in writing within four days after you move of a forwarding address where you can be reached and where you will receive mail; otherwise your landlord shall be relieved of sending you an itemized list of damages and the penalties adherent to that failure."
- Security deposits must be deposited in a regulated financial institution but are considered the property of the tenant until the landlord establishes a right to this money.
- Security deposits can be used for the following:
 - To reimburse the landlord for actual damages extending beyond normal wear and tear.
 - To repay the landlord for any rent the tenant failed to pay, to offset future rent that won't be paid due to early termination of the lease, or for the tenant's unpaid utility bills.
- If a landlord requires a security deposit, the landlord must use inventory checklists both at the beginning and termination of occupancy of the dwelling.
 - At commencement, the landlord gives the tenant two blank copies of the checklist.
 - This checklist will be identical to the one used at termination.
 - The checklist includes all items in the unit and owned by the landlord. Some included items are carpeting, window treatments, appliances, furniture, walls, closets, paint, doors, fixtures, etc.
 - Unless a shorter period is agreed to, the tenant must review the checklist, note the condition of the items, and return one copy to the landlord within seven days of taking possession of the premises.
 - The top of the first page of the checklist must contain this notice in 12-point boldface type: "You should complete this checklist, noting the condition of the rental property, and return it to the landlord within seven days after obtaining possession of the rental unit. You are also entitled to request and receive a copy of the last termination inventory checklist which shows what claims were chargeable to the last prior tenants."
 - At termination, the landlord provides a completed checklist of any damages claimed to be caused by the tenant.
 - If there are any damages or any other reason (such as unpaid rent), the landlord keeps a portion or all of the tenant's security deposit, and an itemized list of damages must be sent via U.S. mail to the tenant within 30 days from the end of the tenant's occupancy. This notice includes estimated cost to repair any damages and the amount assessed to the tenant (basically, how much it will cost to make this repair and how much of the tenant's security deposit will be used to make that repair).
 - The notice of damages must include the following in at least 12-point boldface font and be four points larger than the rest of the text in the notice: "You must respond to this notice by mail within seven days after receipt of same, otherwise you will forfeit the amount claimed for damages."
 - If the landlord fails to provide a notice of damages within the time required, the landlord must return the full security deposit to the tenant as the law deems no damages are due.
- If a tenant fails to provide a forwarding address to the landlord within four days of lease termination, the landlord isn't subject to the time requirement for providing the itemized notice of damages within 30 days of lease termination. However, that doesn't mean that the landlord can keep the tenant's entire security deposit.
- Within 45 days of occupancy termination, the landlord can seek action in a court to receive a money judgment for disputed damages claimed. The landlord doesn't need to seek court action if any of the following are true:
 - The tenant failed to provide a forwarding address within four days of occupancy termination.

- The tenant failed to respond to the notice of damages within seven days of receipt.
- The landlord and tenant agreed in writing to the claim of damages.
- The amount is entirely from unpaid rent during the time the tenant had possession of the premises.
- If the landlord terminates his or her interest in the property (this can be done due to sale of the property, death, assignment of a receiver, etc.), the landlord or the landlord's agent is liable for the security deposit until the deposit is either transferred to the landlord's successor and deposited by the successor (along with notice provided to the tenant of the successor's name and address and that of the financial institution) or returned to the tenant.

Truth in Renting

- The purpose of this act is to regulate residential lease agreements by requiring the inclusion of certain clauses and disclosures or prohibiting certain clauses from inclusion.
- Rental agreements can't include clauses that do any of the following:
 - Waive or alter a remedy when the property doesn't meet safety or habitability requirements
 - Lessors must keep the premises and common areas usable for their intended purposes. They must also provide reasonable repairs during the term of the lease and make sure health and safety laws are followed (unless the health or safety concern is the result of tenant actions).
 - Waive rights related to security deposits
 - Exclude or discriminate against parties protected by the Elliot-Larsen Civil Rights Act
 - Require a confession of judgment by a party
 - Release the lessor from liability for the lessor's failure to perform obligations required of him or her
 - Waive or modify a party's right to seek a jury trial or other judicial proceedings
 - Require one party be liable for the legal costs or attorney fees of another party
 - Accelerate rental payments if the rental agreement is breached, unless there's also a provision that the tenant may not be liable for the entire amount because the landlord has an obligation to minimize damages
 - Allow the landlord to keep a tenant's personal property to ensure rent payment or other charges
 - Waive or modify parties' rights related to possession or eviction procedures
 - Release a party's duty to mitigate damages
 - Allow a lessor to alter rental agreement provisions after the agreement is in place and without the tenant's consent. The following changes are exceptions as long as at least 30 days' written notice is provided:
 - Changes as a result of local, state, or federal laws, rules, or regulations
 - Changes to protect the physical health, safety, or enjoyment of tenants and guests
 - Changes to rent payments needed to cover additional costs of operating the premises (due to property tax, utility costs, or insurance cost increases).
 - Violate the Consumer Protection Act
 - Require the tenant to give power of attorney to the lessor
- Clauses or provisions in a rental agreement that violate the Truth in Lending Act are void.
 - Lessors can cure the violation by notifying tenants that the provision is void and unenforceable or by modifying the provision so that it doesn't violate law. Notice can be delivered in person or via first class or certified mail to the tenant at the leased property address.
 - Tenants can notify the lessor in writing if they believe a provision included in their rental agreement violates law. If the lessor fails to cure the violation within 20 days of receiving the tenant's written notice, the tenant can take action in the following ways:
 - Void the rental agreement and terminate the contract.
 - Prohibit the lessor from including the provision in subsequent agreements.
 - Recover damages of \$250 per action or actual damages, whichever is greater. In some cases, multiple actions related to the same provision may be joined so that only one judgment for damages of \$250 is awarded.
- Rental agreements must include:
 - The name and address where any notices required under this act can be delivered to the lessor.
 - The following notice in at least 12-point type or written legibly and no smaller than 1/8 inch: "NOTICE: Michigan law establishes rights and obligations for parties to rental agreements. This agreement is required to comply with the Truth in Renting Act. If you have a question about the interpretation or legality of a provision of this agreement, you may want to seek assistance from a lawyer or other qualified person."
- If the lessor fails to include these items on the rental agreement, the lessor can cure this violation by delivering a separate notice to the lessee. This notice can be delivered in person or via first class or certified mail to the tenant at the leased property address.
 - Tenants can notify the lessor in writing if they believe this notice wasn't included in their rental agreement. If the lessor fails to cure the violation within 20 days of receiving the tenant's written notice, the tenant can take action for the following relief:
 - Void the rental agreement and terminate the contract.
 - Prohibit the lessor from failing to provide this notice with subsequent agreements.
 - Recover damages of \$500 per action or actual damages, whichever is greater.
- Tenants can seek remedy without prior written notice to the lessor if the rental agreement meets any of the following:
 - Contains a provision previously determined by a court to be a violation in an action involving the lessor.
 - Contains a provision the lessor actually knew was a violation when the agreement was entered into.
 - Fails to contain the required truth in lending compliance notice or lessor name/address and actually knew these items were missing when the agreement was entered into
- Any party who brings action and prevails can recover court costs and statutory attorney fees.

State Transfer Tax

- A state transfer tax can be imposed when title to real property in Michigan is conveyed (or transferred). Transfer taxes don't apply to leases or conveyance of personal property.
- Generally, Michigan transfer taxes are the seller's obligation.
- Transfer taxes are based on the sales price (or consideration, as used in the law) of the property. A portion of the transfer taxes collected goes to the state and a portion to the county where the property is located. The transfer tax rates are as follows:
 - \$4.30 per \$500 (or \$8.60 per \$1,000) for counties with a population less than 2 million
 - \$3.75 per \$500 (or \$7.50 per \$1,000) goes to the state
 - \$0.55 per \$500 (or \$1.10 per \$1,000) goes to the county
 - This rate may increase to \$0.75 per \$500 for counties with a population of 2 million or more.
 - As of most recent census data, all Michigan counties have a population less than 2 million.
- This tax doesn't apply for properties with sales prices of less than \$100.
- Also exempt from the tax are:
 - Transfers from spouses creating or terminating tenants by the entirety
 - Transfers to the owner's child or grandchild (biological, step, or adopted)
 - Transfers due to court judgments

Michigan Condominium Act

- This act regulates condominium units, including those used as timeshares (where buyers purchase specific time intervals to occupy the unit), and conversions of residential buildings to condos with six or more units.
- Prospective buyers of a newly constructed condos must be provided with the following documents:
 - Recorded master deed
 - Copy of purchase agreement that may be signed by the purchaser and a copy of the escrow agreement
 - Condominium buyer's handbook that contains the name, phone number, and address of the condo administrator
 - Disclosure statement related to the project
- In the case of a condo conversion, the following must also be provided:
 - A statement related to the condition of a building's main components (roof, foundation, etc.)
 - A list of outstanding building code or other violations, along with dates of last inspections
- Also in the case of a condo conversion, existing tenants must be notified of:
 - The proposed conversion
 - Their right to receive documents required to be provided to prospective purchasers
 - Their right to remain in their unit for 120 days from the date of notice or lease expiration, whichever is longer
 - This period may be extended if the tenant is a resident of the building, is aged 65 or older, is blind, or is para-, quadri-, or hemiplegic, and doesn't qualify for an extended lease arrangement with the developer.
 - Their right to terminate tenancy after receiving notice with 60 days' notice of termination provided to the developer
- Condo buyers have a nine-business day window during which they may withdraw from a signed purchase agreement without cause or penalty, as long as property hasn't been conveyed. The clock starts when the buyer receives all required documents from the developer.
- Condo unit owners wishing to rent their unit must provide written disclosure to the condo association at least 10 days before presenting or agreeing to a lease. A copy of the lease must be provided to the association, which will review it for compliance with the condo's documents.
 - Tenants are subject to the same rules and conditions as condo unit owners. If the tenant fails to follow these rules and conditions, the association will notify the owner, who has 15 days to investigate and correct the issue or notify the association that a violation didn't occur. If after 15 days the violation isn't corrected, the association can begin eviction proceedings against the tenant.

Michigan State Housing Development Authority (MSHDA)

- The housing development authority focuses on housing issues and needs for low- and moderate-income individuals and families. Its duties include, but aren't limited to:
 - Encouraging housing projects to be initiated in communities and the preservation of existing low- to moderate-income housing
 - Making or purchasing loans
 - Setting standards for housing projects that receive loans under this act
 - Leasing properties and participating in federal housing assistance programs
 - Reviewing and approving rental charges for authority-financed housing
 - Establishing restrictions on loan documents for authority-related housing
- The authority issues tax-exempt bonds and notes and uses those proceeds to make or purchase loans for low- to moderate-income families or persons and to perform other authority duties. Loans are made to those who qualify at below-market rates and can be used by developers of rental housing and purchasers of residential dwellings. The loans can also be used to rehab existing homes but not for refinancing existing mortgages.

Uniform State Antitrust Act

- Michigan's Uniform State Antitrust Act largely follows the federal acts in making certain activities limiting competition and restraining trade illegal. Examples include price fixing, group boycotts, market allocation, and tying arrangements.
- According to the law, any contract or conspiracy in which two or more parties attempt to monopolize or restrain trade or commerce in the market is illegal.
- Those who violate the law may be guilty of a misdemeanor, face up to two years in jail, and/or face fines of up to \$10,000. Corporations may be fined up to \$1 million.
- If a person or entity is already being prosecuted under the federal Sherman Act, actions under Michigan's law won't be taken for the same transactions or occurrences.

Michigan Right to Farm Act (Seller's Disclosure Required)

- The act states that a farm or farm operation can't be deemed a nuisance as long as it follows generally accepted agricultural and management practices. Nor is the farm or operation a nuisance if it existed before a change in land use or occupancy within one mile of the farm's boundaries.
 - Changes to the farm's ownership, size, type of product produced, etc. don't create a nuisance.
 - A farm includes land, plants, animals, improvements, machines, equipment, etc. used for the commercial production of farm products
 - Farm operations include activities related to the operation and management of a farm, such as selling produce roadside, generating noise, dust, or odors, spraying of fields aerially, and other activities.
- Sellers of a property within one mile of a farm's boundary can voluntarily provide the following notice: "This notice is to inform prospective residents that the real property they are about to acquire lies within one mile of the property boundary of a farm or farm operation. Generally accepted agricultural and management practices may be utilized by the farm or farm operation and may generate usual and ordinary noise, dust, odors, and other associated conditions, and these practices are protected by the Michigan Right to Farm Act."
- Residential property sellers must disclose if a farm or farm operation is in the vicinity on the seller's disclosure statement.
- Additional information about the Seller Disclosure Act in general (not specifically tied to the Right to Farm Act) includes:
 - The Seller Disclosure Act requires disclosure of property conditions by a seller when transferring interest in real estate consisting of not more than four residential units. This includes sales, exchanges, installment land contracts, lease with option to purchase, etc.
 - The disclosure isn't required for certain types of transfers, such as those due to court order, divorce, foreclosure sales or related activities, between co-owners, between spouses, children, parents, grandparents, grandchildren, or involving a government entity.
 - The disclosure isn't required for newly constructed property that's never been occupied.
 - The disclosure statement should be provided to prospective buyers prior to executing a binding purchase agreement. If provided after parties have entered into a contract, the buyer has the right to terminate the purchase agreement within 72 hours of receiving the statement if delivered in person or within 120 hours if delivered via registered mail.

Changes in the Land Contract Laws (Federal Dodd-Frank Law)

- A land contract is a form of seller financing and may also be called an installment sale or contract for deed. Land contracts are attractive to buyers who can't obtain financing through conventional lenders (such as banks, credit unions, etc.). Investors also may use land contracts to sell properties they own.
- The contract usually includes terms related to taxes, insurance, and utilities, in addition to sales price. It should also detail how buyer non-payment is handled.
- With land contracts, the seller provides a deed to the buyer after the terms of the contract have been fulfilled. So the buyer doesn't receive the property's deed until the final payment is made to the seller.
- Since the seller provides financing, the seller "qualifies" the buyer for financing.
- The Dodd-Frank Wall Street Reform and Consumer Protection Act impacts how land contracts are used in Michigan. The Department of Financial and Insurance Services is responsible for applying Dodd-Frank so that Michigan laws comply with federal law. Here are ways Dodd-Frank impacts land contracts in Michigan:
 - Anyone (including natural persons, corporations, partnerships, trusts, etc.) offering mortgages or land contracts, or qualifying buyers for these items, must be licensed as a mortgage loan originator (MLO) if they execute four or more land contracts for residential, owner-occupied housing during a 12-month period. This limits the number of transactions a seller or investor may do in a year before being required to obtain an MLO license.
 - The property must be owned by the seller and be used as security for the financing.
 - The seller can't have constructed the property.
 - The financing can't have balloon payments or negative amortization. Financing must fully amortize, and the interest rate either needs to be fixed or adjustable only after five or more years.
 - The seller must determine that the buyer has a reasonable ability to repay. The rules make buyer qualification for land contracts nearly equivalent to the qualification rules for conventional lenders. Buyers who sought land contracts because they didn't qualify for conventional financing are unlikely to qualify for a land contract, as well.
 - Any person, estate, or trust executing only one land contract in a 12-month period doesn't need an MLO license.
 - The property must be owned by the seller and be used as security for the financing.
 - The seller can't have constructed the property.
 - The financing can include a balloon payment, and the interest rate either needs to be fixed or adjustable only after five or more years.
 - The seller isn't required to qualify a buyer's ability to repay, but the financing must include a repayment schedule that doesn't negatively amortize.

- Buyers can terminate the contract if the seller doesn't comply with Dodd-Frank. Buyers can also seek to get their money back, receive damages, and be reimbursed fees and court costs.

Michigan Laws and Rules

The Candidate Information Bulletin lists the Michigan Laws and Rules you should be familiar with when preparing for the licensing exam. While we've summarized the laws related to the topics included in this study sheet, you may also find it helpful to read through the laws. Check out the 'Examination Study Materials' section of the bulletin for more information.